Financial Institutions and System

Week 2: An Overview of the Financial System

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Hello everyone!

Agenda

1. An Overview of the Financial System
2. Class Discussion: Financial Markets and Institutions
3. Class Activity: The 2008 Financial Crisis and the Role of Financial Institutions

1. An Overview of the Financial System

Function of Financial Markets

- Channel funds from economic players with **surplus funds** to those in need.
- **Direct finance**: Borrowers sell **securities** directly to lenders.

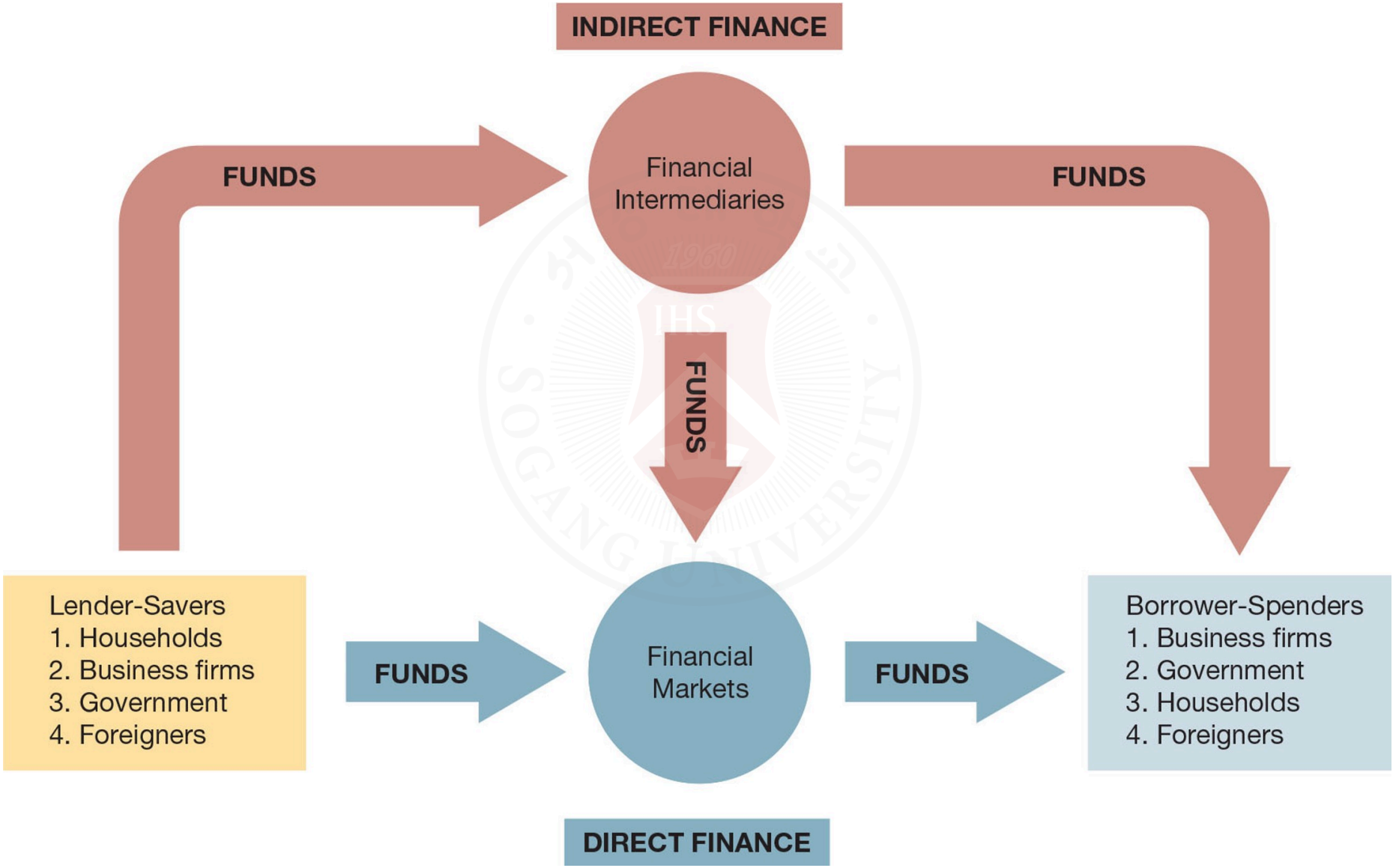
Why is this important?

- **Promotes economic efficiency** by ensuring capital allocation.
- **Improves consumer well-being** by optimizing purchase timing.
- **Enhances economic growth** by making capital available to productive investments.

Key Activities in Financial Markets:

- Facilitate the trading of **bonds and stocks**.
- Affect **personal wealth, business growth, and economic stability**.
- Play a crucial role during **financial crises**, impacting economies worldwide.

Flows of Funds Through the Financial System



Structure of Financial Markets

Two Ways to Obtain Funds

1. **Debt Markets**
   - Borrowers issue **debt instruments** (loans, bonds) with fixed payments.
   - **Maturity**: The number of years until repayment.
   - **Short-term vs. long-term debt instruments**.
2. **Equity Markets**
   - Investors hold **shares** in a company's net income and assets.
   - **Dividends, voting rights**, and ownership advantages.
   - **Residual claimants** – Equity holders get paid after debt holders.

Debt vs. Equity

- **Debt holders** receive fixed payments and get priority over equity holders.
- **Equity holders** benefit from increases in the corporation's profitability.
- **Key differences:** Risk, ownership rights, and potential returns.

Primary and Secondary Markets

- **Primary Market**
  - New securities are sold to initial buyers (e.g., **IPOs**).
  - Investment banks **underwrite** securities.
  - Where new securities are issued and sold to investors.
- **Secondary Market**
  - Securities that have been previously issued are **resold**.
  - **Brokers** match buyers with sellers.
  - **Dealers** buy and sell securities at stated prices.
  - Helps in **price discovery and liquidity provision**.

Why Secondary Markets Matter

- **Firms raise funds only in the primary market**, but...
- Secondary markets:
  - **Improve liquidity** (easier buying and selling).
  - **Determine security prices**, impacting primary market valuations.
  - Support **financial stability and investment decisions**.

Types of Secondary Markets

1. **Exchanges** – Buyers and sellers meet at a centralized location.
   - *Examples:* NYSE, Chicago Board of Trade.
2. **Over-the-Counter (OTC) Markets** – Dealers buy and sell securities remotely.
   - *Examples:* Foreign Exchange (Forex), Federal Funds market.
   - Operate **without centralized exchanges**.

Money and Capital Markets

- **Money Market** – Short-term debt instruments, high liquidity.
- **Capital Market** – Long-term debt and equity securities.

Why it matters?

- Money markets provide short-term funding for corporations and governments.
- Capital markets allow firms to finance **long-term growth and investment**.

Financial Market Instruments

Table 1 Principal Money Market Instruments

Type of Instrument	Amount ($ billions, end of year) 1990	Amount ($ billions, end of year) 2000	Amount ($ billions, end of year) 2010	Amount ($ billions, end of year) 2019
U.S. Treasury bills	527	647	1,767	2,416
Negotiable bank certificates of deposit (large denominations)	547	1,053	1,923	1,859
Commercial paper	558	1,602	1,058	1,045
Federal funds and security repurchase agreements	372	1,197	3,598	4,356

Source: Federal Reserve Financial Accounts of the United States: https://www.federalreserve.gov/releases/Z1

Internationalization of Financial Markets

- **Foreign Bonds** – Issued in a foreign country in that country's currency.
- **Eurobonds** – bonds denominated in a currency *different* from the country where they are issued.
- **Eurocurrencies** – Deposited foreign currencies outside their home country.
  - *Example:* **Eurodollars** – USD deposits in non-U.S. banks.
- **Increasing integration of global financial markets** impacts monetary policy worldwide.

Financial Intermediaries: Indirect Finance

- **Financial intermediaries** connect savers with borrowers.
- **Reduce asymmetric information problems** in markets.
- Primary route for **fund transfers** in financial markets.

Why Important?

- **Lower transaction costs** and improve **efficiency**.
- **Facilitate risk sharing** through financial instruments.

Transaction Costs & Risk

- **Transaction costs** – Time and money spent in financial transactions.
  - **Economies of scale** lower costs for intermediaries.
- **Risk** – Uncertainty of investment returns.
  - Financial institutions **diversify risk** through asset transformation.

Asymmetric Information

- **One party has more knowledge than the other.**
- **Financial intermediaries help by:**
  - **Adverse Selection** – Screening risky borrowers before lending.
  - **Moral Hazard** – Ensuring borrowers act responsibly **after** receiving funds.

Types of Financial Intermediaries

- **Depository Institutions** – Banks, credit unions, savings associations.
- **Contractual Savings Institutions** – Pension funds, insurance companies.
- **Investment Intermediaries** – Mutual funds, hedge funds, venture capital firms.

Regulation of the Financial System

Why regulate financial markets?

1. **Increase transparency** for investors.

2. **Ensure financial system stability**.

3. **Protect consumers from fraud and mismanagement**.

Financial regulations aim to **ensure market stability, protect consumers, and prevent systemic risks**.

Below are key areas of regulation along with notable legislative frameworks.

Regulation of the Financial System (Cont'd)

1. Market Integrity & Investor Protection

- **Insider Trading Prevention** – Restricts unfair trading based on non-public information (*SEC rules*).
- **Financial Market Transparency** – Mandates corporate disclosures and accounting standards (*Sarbanes-Oxley Act*).
- **Credit Rating Agency Oversight** – Increases accountability for rating agencies (*Dodd-Frank Act*).

2. Risk Management & Financial Stability

- **Capital Requirements** – Ensures banks hold sufficient capital (*Basel Accords*).
- **Liquidity Requirements** – Mandates adequate short-term funding to prevent crises (*Basel Accords*).
- **Stress Testing** – Regularly assesses banks' resilience to economic shocks (*Dodd-Frank Act*).
- **Derivatives Regulation** – Enhances transparency in complex financial products (*Dodd-Frank Act*).

Regulation of the Financial System (Cont'd)

3. Consumer Protection & Fair Lending

- **Truth in Lending Act (TILA)** – Ensures transparency in loan agreements and interest rates.
- **Anti-Money Laundering (AML) Rules** – Prevents financial crimes and terrorist financing (*Bank Secrecy Act*).
- **Deposit Insurance** – Protects consumers' bank deposits from failures (*FDIC rules*).

4. Systemic Risk & Crisis Management

- **Systemic Risk Oversight** – Introduces regulation for "too-big-to-fail" institutions (*Dodd-Frank Act*).
- **Financial Institution Resolution & Living Wills** – Requires large banks to outline failure contingency plans (*Dodd-Frank Act*).

5. Monetary Policy & Global Coordination

- **Monetary Policy Regulation** – Governs money supply and interest rates (*Federal Reserve Act*).
- **International Banking Standards** – Ensures global financial stability (*Basel Accords*).

Government Regulation of Financial Institutions

Table 5 Principal Regulatory Agencies of the U.S. Financial System

Regulatory Agency	Subject of Regulation	Nature of Regulations
Securities and Exchange Commission (SEC)	Organized exchanges and financial markets	Requires disclosure of information; restricts insider trading
Commodities Futures Trading Commission (CFTC)	Futures market exchanges	Regulates procedures for trading in futures markets
Office of the Comptroller of the Currency	Federally-chartered commercial banks and thrift institutions	Charters and examines the books of federally chartered commercial banks and thrift institutions; imposes restrictions on assets they can hold
National Credit Union Administration (NCUA)	Federally-chartered credit unions	Charters and examines the books of federally chartered credit unions and imposes restrictions on assets they can hold

Overview of the Financial System: Summary

The financial system **facilitates the flow of funds** between savers and borrowers, ensuring economic efficiency and stability.

Key Functions

- **Capital Allocation** – Transfers funds from surplus units (savers) to deficit units (borrowers).
- **Risk Management** – Enables risk-sharing through diversification and hedging instruments.
- **Liquidity Provision** – Ensures the ability to buy/sell financial assets easily.
- **Monetary Transmission** – Channels central bank policies into the economy.

Main Components

1. **Financial Markets** – Includes money markets (short-term) & capital markets (long-term).
2. **Financial Institutions** – Banks, insurers, mutual funds, and pension funds.
3. **Financial Instruments** – Debt (bonds), equity (stocks), and derivatives.
4. **Regulatory Framework** – Ensures stability and investor protection.

Why It Matters?

- Drives **economic growth**
- Supports **investment & innovation**
- Maintains **financial stability**

2. Class Discussion: Financial Markets and Institutions

Group Activity: Financial Markets and Institutions

Discussion & Brainstorming

Topic: *The Role of Financial Markets and Institutions in the Economy*

Key Questions:

1. How do **financial markets** facilitate capital allocation and economic growth?
2. In what ways do **financial intermediaries** reduce **transaction costs** and **manage risk**?
3. Why is **regulation** crucial for financial stability and investor protection?
4. What are the **risks** associated with financial markets and institutions?
5. How can financial institutions **mitigate risks** and **ensure market integrity**?
6. What are the **benefits** and **challenges** of international financial markets?

3. Class Activity: The 2008 Financial Crisis and the Role of Financial Institutions

Any QUESTIONS?

Thank You!

Next Class

- (Mar 21) Chap 3. What is money?